DEMAND FOR NIEO

The dismal picture of the international economic structure had created a discontent among the developing countries. These countries of South had been from the 1970s onwards, pressing for a New International Economic Order where the developing world would have a say. These countries have utilized the Group of G-77, the UNCTAD, the Non- Aligned Conferences, and the General Assembly of the United Nations to place their demand and realize them through structural adjustment of the existing international economic relations.

By the early 1960s, however, many developing countries were frustrated with their growth prospects and started demanding a better deal. Rallying in such organizations as the Non-Aligned Movement, and establishing the United Nations Conference on Trade and Development (UNCTAD), they argued for fairer terms of trade and more liberal terms for financing development. The North responded with pious declarations of its good intentions—but also with a hard-nosed insistence—that the proper forum for any economic changes continued to be the Bretton Woods institutions where they held the balance of power.

The success of the oil-producing countries of OPEC, in increasing petroleum prices substantially, starting in 1973, served as a catalyst to pull together the developing countries in support of a call for a New International Economic Order in which their interests would be better represented. This call integrated many of the proposals that had been discussed previously at UNCTAD and other world forums.

Specific proposals for changes in the economic system were advanced at the Summit Conference of Non-Aligned Nations held in Algiers in September 1973. Following that, the Sixth Special Session of the UN General Assembly was called hastily in April 1974. This session adopted, without a vote, a manifesto entitled “Declaration and Program of Action of the New International Order”. In December 1974, the General Assembly approved the Charter of Economic Rights and Duties of States.

The UN General Assembly, in its Sixth Special Session held in 1974,